PIRANHA PROFITS

LESSON 11

Creating Your Unique Trading Plan

BY: ALSON CHEW

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CREATING YOUR UNIQUE TRADING PLAN

LONG RUN PROFITABILITY FACTORS

- ✔ Risk amount **(Controllable parameter)**
- ✔ Win rate **(Uncontrollable parameter)**
- ✔ Risk to reward ratio -Rule of thumb at least 2 **(Controllable parameter)**
- ✔ Number of round trips for the selected period **(Controllable parameter)**
  - ✔ 1 day, 1 week, 1 month, 1 quarter

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CREATING YOUR UNIQUE TRADING PLAN

XSPY money management spread sheet to identify **individual trading plan**, **risk tolerance** and the **parameter trade offs**.

Demonstration and explanation of long run profitability factors trade offs.

I knew that if I failed I wouldn't regret that, but I knew the one thing I might regret is not trying.

	Day	Week	Month	Quarter
Portfolio Size	20,000			
Target per Trade	750			
Risk per Trade	375			
% Risk per Trade	1.88%			
Consecutive drawdown ability	53.33			
Risk Ratio	1			
Reward Ratio	2			
Number of Round Trips Per Day	2	10	40	120
Win Rate	60.00%			
Number of Winners	1.2			
Number of Losers	0.8			
Expected P&L	600.00	3,000.00	12,000.00	36,000.00

XSPY Money Management | XSPY Risk Management | Sheet1

Take note! We want to keep this **constant** and adjust the tradeoffs!

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CREATING YOUR UNIQUE TRADING PLAN

XSPY money management spread sheet to identify **individual trading plan**, **risk tolerance** and the **parameter trade offs**.

Demonstration and explanation of long run profitability factors trade offs.

We **decrease** Risk Per Trade to 250 from 375

I knew that if I failed I wouldn't regret that, but I knew the one thing I might regret is not trying.

	Day	Week	Month	Quarter
Portfolio Size	20,000			
Target per Trade	500			
Risk per Trade	250			
% Risk per Trade	1.25%			
Consecutive drawdown ability	80.00			
Risk Ratio	1			
Reward Ratio	2			
Number of Round Trips Per Day	3	15	60	180
Win Rate	60.00%			
Number of Winners	1.8			
Number of Losers	1.2			
Expected P&L	600.00	3,000.00	12,000.00	36,000.00

XSPY Money Management | XSPY Risk Management | Sheet1

We **increase** Round Trips Per Day to 3 from 2

Keeping our Monthly Target income constant at 12,000.00

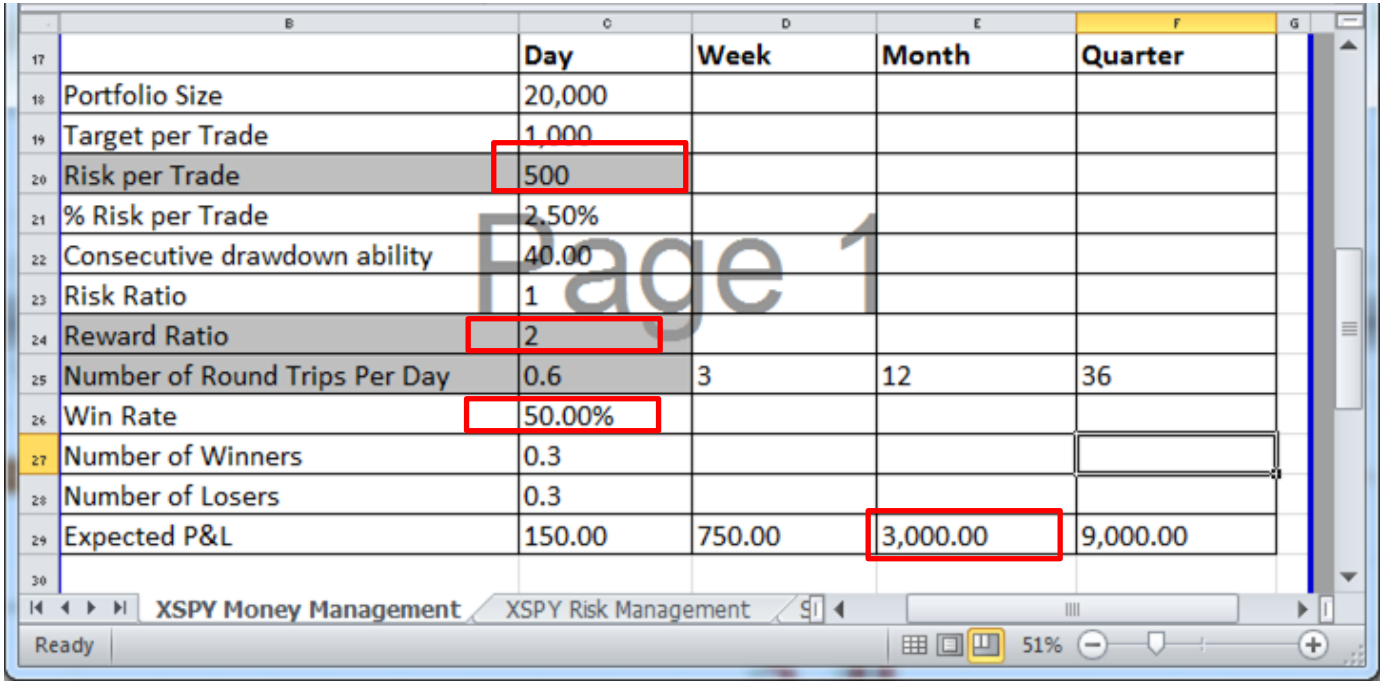
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EXAMPLE

Bill has a trading portfolio of $20,000. He aims to achieve a $3,000 trading income per month.

If Bill wants to keep his number of round trips at 3 per week, having a 50% win rate and a 2:1 risk to reward ratio, what is the minimum amount he should risk per trade? **Ans: __$500__per trade**



	Day	Week	Month	Quarter
Portfolio Size	20,000			
Target per Trade	1,000			
Risk per Trade	500			
% Risk per Trade	2.50%			
Consecutive drawdown ability	40.00			
Risk Ratio	1			
Reward Ratio	2			
Number of Round Trips Per Day	0.6	3	12	36
Win Rate	50.00%			
Number of Winners	0.3			
Number of Losers	0.3			
Expected P&L	150.00	750.00	3,000.00	9,000.00

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CREATING YOUR UNIQUE TRADING PLAN

IMPORTANT!
YOUR TRADING PLAN

1) Expected Portfolio Size

1) Risk Per Trade

1) Number of Round trips per day

1) Expected Monthly P&L

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